

stay with this. It will do your financial health a whole lot of good to just understand the terms the Suits throw at you.

Growth or dividend

There are three kinds of options that each mutual fund scheme offers you: growth, dividend and dividend reinvestment. The growth option allows you to stay invested and get the benefit of long-term growth of the portfolio. Your profits are not 'realized', or in other words, your profits reflect in the rising price, much like a stock price that goes up. Till you sell, the profit is 'unrealized' or notional. The growth option works especially well for equity funds as it allows you to keep the money invested in the market. The profit your fund makes remains in the market and you get the benefit of compounding over the years. The number of units you buy remain the same, but the price, or the NAV, keeps going up.

I remember twenty years ago when mutual funds were still new, and I was hesitating to invest. I now wish I had just put Rs 1 lakh in one of the early schemes in the market. Invested in 1993, that money is worth more than Rs 1 crore, an annual average growth of 21.6 per cent. This option is good for those who don't need an income from their investment today but are targeting a corpus for future use.

The dividend option allows you to book profits periodically. The number of units remain the same, but the NAV keeps reflecting the booked profits. Obviously for the same scheme, the NAV of a growth option will be higher than the dividend option. This option is good for those who need a periodic income from their investments, like the retired do. The dividend reinvestment option is a strange animal that wants growth but is afraid of not booking profits.

A legacy of the past, the dividend reinvestment option is unique to India. What happens is this: Profits are booked, but instead of declaring a dividend, the fund house buys more units at the current price. So your number of units goes up but the NAV remains near the dividend option NAV. In effect you have the growth option corpus. This is a good option for some tax manoeuvring in debt funds. Do talk to your tax consultant on how to use it.